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May 12, 2026

Bank of Japan

Summary of Opinions at the Monetary Policy Meeting^{1,2} on April 27 and 28, 2026

I. Opinions on Economic and Financial Developments

Economic Developments

- Japan's economy has recovered moderately, although some weakness has been seen in part, partly due to the impact of the situation in the Middle East. In fiscal 2026, Japan's economic growth is likely to decelerate due to factors such as a deterioration in the terms of trade reflecting the rise in crude oil prices. However, the economy is expected to continue growing moderately, since it is likely to be underpinned by factors such as the government's various measures and accommodative financial conditions. From fiscal 2027 onward, Japan's economic growth rate is expected to rise moderately, since it is projected that the adverse effects of high crude oil prices will wane.
- The increased burden caused by a deterioration in the terms of trade has been shared between firms, households, and the government, through, for example, the pass-through of cost increases to selling prices by firms and the provision of gasoline subsidies by the government. With high levels of profits having been accumulated in the corporate sector and expectations for wage hikes as a result of the annual spring labor-management wage negotiations, Japan's economy appears to be reasonably resilient to downward pressure.
- Regarding the deterioration in the terms of trade, while import prices in the petroleum and chemical industries have risen significantly due to the impact of the situation in the Middle East, yen-based export prices in the IT industry have risen on the back of strong global demand.

¹ English translation prepared by the Bank's staff based on the Japanese original.

² "Summary of Opinions at the Monetary Policy Meeting" is made through the following process: (1) each Policy Board member and government representative makes a summary of opinions that she/he presented at the Monetary Policy Meeting (MPM) under a certain word limit and submits this to the Governor of the Bank of Japan, who serves as the chairman of the MPM, and (2) the chairman edits those opinions as his responsibility.